

Rich Dad Poor Dad — Mastery Quiz

Author: Robert T. Kiyosaki • 12 multiple-choice questions • Answer + explanation

Instructions: Choose the best answer before checking the answer and explanation.

1. *What is a core financial distinction in the book?*

- A. Assets vs liabilities
- B. Employees vs managers only
- C. Saving vs sleeping
- D. Spending vs eating

Correct answer: A

Why: The book emphasizes understanding whether things tend to put money in or take money out.

2. *What does an asset generally do in the book's framework?*

- A. Produces cash flow or value
- B. Always creates debt
- C. Guarantees profits
- D. Always costs money

Correct answer: A

Why: Assets are framed as things that contribute to cash flow or value.

3. *What is the 'rat race'?*

- A. A fitness routine
- B. A cycle of earning and spending that maintains financial dependence
- C. A business model
- D. A savings account

Correct answer: B

Why: Higher income can fail to create freedom when expenses rise alongside it.

4. *Why is financial education important?*

- A. It makes all investments safe
- B. It helps people understand cash flow, assets, liabilities and investing
- C. It removes taxes
- D. It guarantees wealth

Correct answer: B

Why: Financial literacy improves the ability to evaluate money decisions.

5. What does 'pay yourself first' generally encourage?

- A. Allocate money toward savings/investment before discretionary spending
- B. Spend everything first
- C. Avoid saving
- D. Maximize debt

Correct answer: A

Why: The principle prioritizes building financial capacity before lifestyle spending.

6. What skills can be valuable beyond technical expertise?

- A. Sales and communication
- B. Avoiding people
- C. Ignoring accounting
- D. Avoiding negotiation

Correct answer: A

Why: The book encourages learning broad business and communication skills.

7. What is a major path toward financial freedom?

- A. Increasing expenses
- B. Building income-producing assets
- C. Depending on one salary forever
- D. Buying status goods

Correct answer: B

Why: Productive assets can gradually increase cash flow and optionality.

8. What is the cash-flow question to ask about an expense?

- A. Does it put money in or take money out?
- B. Is it fashionable?
- C. Is it expensive?
- D. Do others own it?

Correct answer: A

Why: The cash-flow perspective helps distinguish productive assets from liabilities.

9. What can happen when lifestyle inflation follows income?

- A. Financial independence necessarily accelerates
- B. The savings gap may remain small
- C. Debt disappears
- D. Assets automatically grow

Correct answer: B

Why: If spending rises as fast as income, little surplus is left to build assets.

10. Why work to learn?

- A. Skills can increase future earning and business opportunities
- B. Work has no value
- C. Learning reduces income
- D. Skills are irrelevant

Correct answer: A

Why: The book emphasizes acquiring transferable skills rather than focusing only on immediate pay.

11. What is the role of investing knowledge?

- A. To understand risk and opportunities
- B. To guarantee returns
- C. To avoid all uncertainty
- D. To eliminate work

Correct answer: A

Why: Financial knowledge improves decision quality but does not eliminate risk.

12. What is the simplest wealth loop?

- A. Earn → save/control spending → acquire assets → grow cash flow
- B. Earn → spend → borrow → repeat
- C. Borrow → consume → borrow
- D. Spend → status → debt

Correct answer: A

Why: The loop captures the book's central practical message about building the asset column.

Scoring guide: 10–12 = strong mastery • 7–9 = good understanding • 4–6 = review the summary • 0–3
= reread the core concepts.